Resolving building disputes

Listen (https://app-oc.readspeaker.com/cgi-bin/rsent?customerid=7371&lang=en_au&readid=page-content&url=https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/resolving-building-disputes)

When you build or renovate, things may not always go to plan. You can take steps to help resolve disputes with your builder or tradesperson.

Aim to develop and maintain positive communication with them. Not speaking to each other can make any issues much harder to resolve.

Fair Trading can assist if you cannot resolve a dispute with your builder or tradesperson. We deal with building-related disputes about:

- incomplete or defective home building work
- damage caused to other structures (including neighbouring properties) by home building work
- specialist work, including electrical wiring, plumbing, gasfitting and air conditioning/refrigeration. We deal with specialist work in residential and non-residential buildings.

Here are some steps to help resolve disputes with your builder or tradesperson.

Step 1: Talk about it

Discuss your concerns as soon as you become aware of a problem. It may simply be a misunderstanding that can be quickly resolved through constructive communication.

If your dispute is about the quality of the work, you can refer to the NSW Guide to Standards and Tolerances (https://www.fairtrading.nsw.gov.au/__data/assets/pdf_file/0008/369980/NSW_Guide_to_Standards_and_Tolerances_.pdf). The Guide will help you understand what standard of work is acceptable. For example, it explains how much shrinkage around timber windows and doors is tolerable.

Step 2: Write a letter

Following your conversation, confirm in writing with your builder what was agreed to be done and by when. Date and keep a copy of this correspondence. Consider using registered post or email, which provide proof that the communication was sent.

Step 3: Contact Fair Trading

If you cannot resolve the dispute, the next step is to contact Fair Trading to assist with dispute resolution.

Either you or the trader can formally request for Fair Trading to assist, but both parties need to agree to the attempt at resolution.

Builders, developers, owner–builders and tradespeople must warrant that, among other things, their work has been performed with due care and skill. By law, a homeowner, or subsequent purchaser, can enforce these warranties within certain time periods after the work was completed (https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/preparing-to-build-and-renovate/contracts).

Statutory period

For contracts signed on or after 1 February 2012 the statutory warranty period for major defects is six years, and two years for all other defects. If loss becomes apparent in the last six months of the statutory warranty period then the home owner has a further six months after the end of the statutory warranty period to enforce the statutory warranty.

For contracts entered into before 1 February 2012, the statutory warranty period was seven years for all building work defects.

If you are still seeking compensation or rectification of this work that is nearing the end of the statutory warranty period, lodge an application with the NSW Civil and Administrative Tribunal. If the work is outside the statutory warranty period, the Tribunal may not be able to deal with your application. It is the responsibility of the homeowner to apply to the Tribunal before the expiry of the statutory warranty period.

Strata/community scheme building work disputes

Individual strata and community lot owners can lodge complaints with Fair Trading (https://www.fairtrading.nsw.gov.au/help-centre/online-tools/make-a-complaint) and invite a Fair Trading Building Inspector onto the common property of a strata scheme or association property.

Caretakers and others who control access to areas of the common property will be obligated to cooperate with officers from Fair Trading and provide assistance to enable the inspection to be carried out.

Step 4: Notify your home building compensation provider

To safeguard your position under your Home Building Compensation Fund, if you become aware of defective or incomplete work, you **must** immediately notify your insurer in writing.

Step 5: Building inspections

The role of a Fair Trading Building Inspector is to help you and the builder resolve a dispute. In most cases the Inspector will arrange to meet with you and your contractor on-site to inspect the work under dispute and discuss the issues reported in the complaint. The Inspector will only deal with Major defects.

Major defects

A major defect is defined as a defect in a major element of the building due to defective design, workmanship or materials, or failure to comply with the National Construction Code structural performance requirements.

This may include but is not limited to:

- a load-bearing component essential to the stability of the building such as foundations, footings, floors, walls, roofs, columns or beams
- fire safety system
- waterproofing.

Non-Major defects will be dealt with through the Issue Resolution and Advisory Services team.

The Inspector will either:

- issue a Rectification Order if there are matters that the contractor needs to rectify, or
- conclude that the builder is not responsible for the alleged defects.

Rectification Order

A Rectification Order issued will:

- list work to be rectified or completed
- outline conditions for both parties to comply with the Order
- set a date for the work to be completed.

A staged Rectification Order will specify the stages in which an order must be complied with.

If the Order is not complied with, or you are not satisfied with the decision made, you may lodge a claim with the NSW Civil and Administrative Tribunal. If a claim is lodged, the Order ceases to have effect and the Tribunal will hear the matter.

> **IMPORTANT:** Fair Trading Building Inspectors do not undertake a general inspection of the work. They visit the site to look at the specific items implicated in the dispute.

Home Building Advocacy Service

NSW Fair Trading provides funding for a Home Building Advocacy Service (HoBAS) run by the Western Sydney Community Legal Centre.

HoBAS offers consumers access to the following services:

- advice to NSW residential home building consumers on their rights, responsibilities and on what action can be taken to resolve their home building dispute
- advocacy on behalf of consumers in disputes with home building licensees or relevant parties via telephone, letters or face to face representation
- negotiation of disputes between consumers and builders or relevant party
- assistance to residential home building consumers in the preparation of cases for Tribunal hearings
- representation of residential home building consumers at Tribunal hearings where considered appropriate
- referrals to relevant authorities
- community education activities.

NOTE: HoBAS can only assist consumers after they have completed the NSW Fair Trading dispute resolution process. There may be charges for some services offered by the Centre.

Contact the Western Sydney Community Legal Centre for help with your building dispute on 8833 0994.

Step 6: Building dispute intervention

Where you can't resolve a serious building defect with the builder or developer, or the issue can't be resolved through statutory warranties or other assurance schemes, it may be referred to the Building Commissioner for further investigation through a building dispute intervention (https://www.fairtrading.nsw.gov.au/trades-and-businesses/construction-and-trade-essentials/DBP-regulated-buildings/building-issue-intervention).

More information

For information on disputes or complaints in strata, visit the NSW Government (https://www.nsw.gov.au/housing-and-property/strata/disputes-complaints) website.

Prev (https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/after-you-build-or-renovate)
After you build or renovate

Next (https://www.fairtrading.nsw.gov.au/housing-and-property/building-and-renovating/during-the-building-process)
During the building process

Share this page

Download

Print